RATING RATIONALE **30 July2020**

UNITED DRILLING TOOLS LIMITED

Brickwork Ratings upgrades the ratings for the Bank Loan Facilities of ₹ 48.09 crores of United Drilling Tools Limited.

Particulars

<table>
<tr><th rowspan="2">Facility**</th><th colspan="2">Amount (₹ Cr)</th><th rowspan="2">Tenure</th><th colspan="2">Rating*</th></tr>
<tr><th>Previous</th><th>Present</th><th>Previous (May’19)</th><th>Present</th></tr>
<tr><td rowspan="2">Fund based</td><td>20.40</td><td>-</td><td>Long Term</td><td>BWR BBB- Stable</td><td>-</td></tr>
<tr><td>-</td><td>25.07</td><td>Short Term</td><td>-</td><td rowspan="2">BWR A3+ Upgrade</td></tr>
<tr><td rowspan="2">Non Fund based</td><td>20.40</td><td>17.02</td><td>Short Term</td><td>BWR A3</td></tr>
<tr><td>-</td><td>6.00</td><td>Long Term</td><td>-</td><td>BWR BBB Stable Upgrade</td></tr>
<tr><td>Total</td><td>40.80</td><td>48.09</td><td colspan="3">INR Forty Eight crores and Nine lakhs only.</td></tr>
</table>

*Please refer to BWR website www.brickworkratings.com/ for definition of the ratings
**Annexure-I provides details of bank wise facilities

RATING ACTION / OUTLOOK:

BWR has upgraded the rating of United Drilling Tools Ltd to BWR BBB Stable/A3+ deriving strength from the extensive experience of the promoters having strong relationship with its customers and suppliers, its strong financial risk profile and increased revenues alongwith healthy orders in pipeline. However, the rating is constrained by the company's tender based nature of operations and effect of Covid-19 lockdown.

KEY RATING DRIVERS

Credit Strengths:

- **Experienced Promoters with established market position**-

  The business is presently headed by Chairman and Managing director Mr. Pramod Kumar Gupta who is having more than three decades of industrial experience. He is ably assisted by Mr. Kanal Gupta, Mr. Inderpal Sharma and other independent directors including Mr. Krishan Dayal Aggarwal, Mr. Pandian Kalyanasundaram and Ms. Twinkle Singh. The company has strong relationships with its customers like ONGC Ltd, Jindal Saw Ltd, Oil India Ltd and enjoys a long term relationship with them.

- **Strong Financial Risk Profile** marked by low gearing i.e. TOL/TNW of 0.08x for FY20 due to almost nil debt as no loans have been taken. Sanctioned WC facilities have not been utilized. Tangible net worth of Rs. 139.01 crs as on March 2020 is an indicator of healthy credit risk profile. Due to the focus of the company on orders giving high margins, there is an increase in profit margins viz. Net Operating margin of 40.46% and Operating profit margin of 47.46% in FY20. Liquidity is also adequate as is evident from the current ratio of 8.20x in FY20 and non utilisation of working capital limits. Total Cash accruals stood at Rs. 47.91 crs in FY20 as against CPLTD of Rs. 0.08 crs. All the above factors indicate that the company is having a strong financial risk profile.

- **Increased Revenues in FY19 along with healthy orders in pipeline**- The company reported Total Operating Income of Rs. 156.20 crs in FY19 and Rs. 111.75 crs in FY20 which have increased by 112.73% in FY19 and 52.19% in FY20 in comparison with FY18 revenues of Rs. 73.43 crs. The revenues realised in FY18 were on a lower side as tenders were postponed in FY18 by Oil drilling companies since there was no clarity about GST provisions due to which tenders were delayed. After FY18, tenders were floated resulting in increase in revenues in subsequent FYs. Though there is a dip in revenues in FY20 which stood at Rs. 111.75 crs which is mainly due to tender based nature of business i.e. delay in tenders getting materialized. The profits earned in FY20 stands at Rs. 45.22 crs which increased by 82.81% in comparison to FY19 profits of Rs. 24.74 crs. This is due to the focus of the company on execution of orders which earned higher margins. The company is currently working on the orders received from its customers like ONGC and Oil India. The company has orders in hand from ONGC, Oil

India Ltd and Quippo worth Rs. 134.08 crs to be executed in FY21 indicating revenue visibility in the short to medium term and besides,the company is going to secure purchase orders worth US$ 2 million from the overseas customers in Vietnam, Texas, Dubai, Indonesia, Middle East, China and USA. The company is also engaged in finalising the orders of Rs. 10 crs from domestic customers in Gurgaon, Mumbai and Rewari. In addition to this, tenders have been floated for some Overseas projects in Algeria, Vietnam and Qatar wherein there is a strong chance that the company will get the purchase orders. The management also informed that Sales realised in FY21 till date stands at Rs. 25 crs approximately despite the fact that the production ceased in April 2020 due to Covid 19 lockdown. The production restarted in the first week of May 2020 after the approval for commencement of production activity was taken from the local authorities of Noida city.

Credit risks:

- **Tender based nature of Operations:** The company is exposed to tender based risk as one of the main customers is ONGC, a Govt Of India Undertaking. There is always the eventuality of not coming out successful in winning the bid which may affect the revenues and profitability.

- **Effect of Covid 19 lockdown:** According to a report, "All categories of manufacturing industries showed a contraction in production due to Covid 19 lockdown. Manufacturing industry has been hit in many ways due to the Corona effect. Some elements in the engineering industry are imported from foreign countries, which are badly affected, creating a domino effect on the entire sector. The various restrictions put in place by the Governments to control the effects of the virus may trigger shortage of raw material and manpower, disrupted supply chain, further creating handicaps in performing contractual obligations."As per the management, the production ceased in April 2020 due to the Covid 19 lockdown however the same restarted in the first week of May 2020 after the company took approval for production from the local authorities of the Noida City. The management informed that Sales realised in FY21 till date stands at Rs.25 crs approximately and is currently working on the orders received from the customers like ONGC, Oil India etc.

ANALYTICAL APPROACH AND APPLICABLE RATING CRITERIA

For arriving at its ratings, BWR has applied its rating methodology as detailed in the Rating Criteria detailed below (hyperlinks provided at the end of this rationale).

RATING SENSITIVITIES

Going forward the ability to achieve the projections and maintain a Strong credit profile would remain the key rating sensitivities.

Positive: Ratings may be upgraded in case projections are met with wide margins and the company is able to generate sustained revenues and profit margins.

Negative: Ratings may be downgraded in case projections are not met i.e. company is not able to generate sufficient revenues and profit margins.

LIQUIDITY POSITION *(Adequate*)

Current ratio stands at 8.20x in FY20 and cash and cash equivalents stand at Rs. 10.69 crores in FY20. Total cash accruals stood at Rs. 47.91 crs in FY20 as against CPLTD of Rs. 0.08 crs. As per the banker, the working capital limits are not utilised. Taking into account the above, the liquidity position is quite comfortable and hence Adequate.

COMPANY PROFILE

United Drilling Tools Limited, established in 1985, is a publicly listed company engaged in manufacturing of Oilfield Equipments like connectors, truck mounted winches, casing pipes, gas lift valve, stabilisers, gas lift equipment, down hole tools etc, winch are used for drilling of oil. The company has three manufacturing units out of which two are located in Noida (Uttar Pradesh) and one is in Kutch (Gujarat). The company is a sole Indian manufacturer having API (American Petroleum Institute) approval for items manufactured. Its Corporate Office is situated in Phase II, Noida and registered office is in New Delhi.The company is listed on BSE. The company has been promoted by Mr. Pramod Kumar Gupta, Mr. Kanal Gupta, Mr. Inderpal Sharma who are ably assisted by other independent directors.

KEY FINANCIAL INDICATORS

Key Parameters	Units	2020	2019
Result Type		**Audited**	**Audited**
Operating Revenue	₹ Cr	111.75	156.20
EBITDA	₹ Cr	53.04	28.24
PAT	₹ Cr	45.22	24.74
Tangible Net worth	₹ Cr	139.01	105.85
TOL/TNW	Times	0.08	0.16
Current Ratio	Times	8.20	5.35

KEY COVENANTS OF THE INSTRUMENT/FACILITY RATED: None

NON-COOPERATION WITH PREVIOUS RATING AGENCY IF ANY : CRISIL BB+ Stable/A4+ Issuer Not Cooperating as on 24th July 2019.

RATING HISTORY (including withdrawal and suspension)

<table>
<tr><th>Facility</th><th colspan="3">Current Rating (2020)</th><th colspan="3">Rating History*</th></tr>
<tr><td></td><td>Type</td><td>Amount (₹ Crs)</td><td>Rating</td><td>2019</td><td>2018</td><td>2017</td></tr>
<tr><td>Fund Based</td><td>Short Term</td><td>25.07</td><td rowspan="2">BWR A3+
Upgrade</td><td rowspan="2">BWR A3</td><td rowspan="3">-</td><td rowspan="3">-</td></tr>
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<tr><td>Long Term</td><td>6.00</td><td>BWR BBB Stable Upgrade</td><td>BWR BBB- Stable</td></tr>
<tr><td colspan="2">Total</td><td>48.09</td><td colspan="4">INR Forty Eight Crores and Nine Lakhs only.</td></tr>
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COMPLEXITY LEVELS OF THE INSTRUMENTS

For more information, visit www.brickworkratings.com/download/ComplexityLevels.pdf

Hyperlink/Reference to applicable Criteria

- **General Criteria**
- **Approach to Financial Ratios**

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(United Drilling Tools Limited)

ANNEXURE I

Details of Bank Facilities rated by BWR

Sl. No.	Name of the Bank	Type of Facilities	Long Term (₹ Cr)	Short Term (₹ Cr)	Total (₹ Cr)
1.	Axis Bank	PCFC	-	12.65	12.65
2.		LC	-	6.00	6.00
3.		BG	6.00	-	6.00
4.		LER Limit	-	0.35	0.35
5.	Allahabad Bank (Indian Bank)	PCFC	-	10.35	10.35
6.		Standby Limit under gold card	-	2.07	2.07
7.		BG	-	6.00	6.00
8.		LC	-	2.60	2.60
9.		Standby Limit under gold card	-	1.72	1.72
10.		LER Limit	-	0.35	0.35
TOTAL					**48.09**

INR Forty Eight Crores and Nine Lakhs only.

For print and digital media The Rating Rationale is sent to you for the sole purpose of dissemination through your print, digital or electronic media. While it may be used by you acknowledging credit to BWR, please do not change the wordings in the rationale to avoid conveying a meaning different from what was intended by BWR. BWR alone has the sole right of sharing (both direct and indirect) its rationales for consideration or otherwise through any print or electronic or digital media.

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